

DK Coffee Lab, Part 1 (*fictional*)

After relocating from a small college town back to her hometown of Springville, Denessa King missed her favorite café, Study Grounds. She had fond memories of “the Grounds” and hours spent reading, playing board games, connecting with friends, or working on her laptop. She loved its cozy décor, its warm, welcoming ambience, and the variety of creative high-quality coffee drinks and snacks on offer. A good coffee shop, she realized, provides an easy way for people to feel like part of a community.

As a 27-year-old college graduate with a marketing degree and some food-industry experience, King realized she might be the right person to bring high-end coffee drinks, knowledgeable baristas, locally sourced snacks, and a vibrant coffee shop to Springville. She could already imagine a wall of bookshelves (stocked with classics and donated paperbacks), a wood-burning fireplace, big plants, and comfy couches.

But she knew that launching a business would take time, energy, and money. She’d have to conduct customer interviews, identify a gap in the market, find a location, design the café, build a supply chain, estimate her startup costs, and maybe even find investors. Launching a coffee shop could take several months to a year—and that’s if everything went well! She’d have to keep her day job in the meantime.

What would it take for Denessa King to start her dream coffee shop, DK Coffee Lab?

Background

Springville has a population of around 150,000, with three locally owned coffee shops—Springville Coffee and Bakery, Ye Olde Café, and the Coffee Cup—and no national chains. King visited the three shops repeatedly and learned the following:

- Ye Olde Café and the Coffee Cup both cater to a 60+ clientele, mostly retirees who meet up every morning to read and socialize with friends. Both shops have been in business since the 1960s and serve drip coffee and tea, as well as breakfast snacks like muffins and donuts. Both shops open early and close around noon, and they are decorated with traditional leather booths and laminated tabletops.
- Springville Coffee and Bakery, located on the west side of town, opened five years ago and caters to a younger clientele, including high school students who meet after school to do group work and use the Wi-Fi. Springville Coffee and Bakery is open from 7 a.m. to 5 p.m. and serves drip coffee, specialty drinks, and prepackaged snacks, including chips and muffins. It has a bright modern interior with white tables, black wood chairs, and a tile floor.

King reviewed market research reports on the coffee industry and found that on average, a customer spends about \$10 when visiting a coffee shop; some spend \$3–5 on coffee, and others spend \$15–20 on coffee and sandwiches or snacks. Coffee-loving cities like New York and San

Topic 3.4 Case

Francisco have one coffee shop per 2,000 residents, while smaller cities typically have one coffee shop per 10,000 residents.

King also interviewed a few dozen young adults in the community and conducted an online survey, which drew 1,000 responses. She found that younger coffee drinkers prefer a variety of specialty beverages, while older coffee drinkers are more likely to drink drip coffee (Table 1). She decided that her shop would carry specialty drinks like lattes and cappuccinos as well as iced coffee treats, such as frappés. In addition, she planned to contract with a local bakery to provide a small selection of gourmet sandwiches, catering to the higher-income young adults she hoped to attract. She would keep her shop open until 9 p.m.

Table 1. Coffee Preferences of Daily Coffee Consumers by Age Group

Age Group	Drip Coffee	Latte	Espresso	Cappuccino	Do Not Drink Coffee Daily
18–24	5%	25%	10%	10%	50%
25–39	10%	30%	10%	10%	40%
40–59	20%	10%	15%	10%	45%
60+	35%	10%	10%	15%	30%

Figures represent the percentage of survey respondents in each group who identified each option (e.g., latte) as their preference.

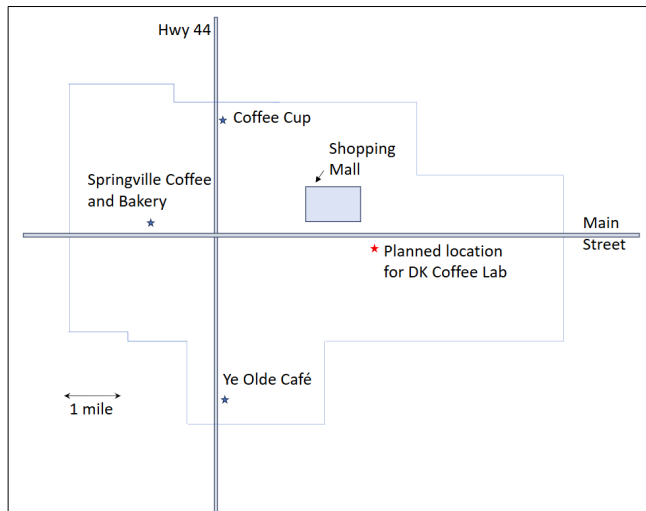


Figure 1. Map of Springville

Building the Business

After comparing the size and occupancy expenses for two potential locations, King decided on a 1,600 square foot store near a shopping mall on the east side of Springville (Figure 1) with monthly occupancy expenses (including rent, utilities, and internet) of \$3,000.

King's next step was to research the startup costs for a café and determine whether she had enough financial capital or if she would need to seek external funding. She already knew her occupancy expenses (\$3,000/month, so \$9,000/quarter), and now she needed to draw up a plan for other costs of starting

a business, such as her fixed capital (coffee-related equipment and furniture), legal and licensing paperwork, insurance costs, and supplies (Table 2).

Table 2. King's Startup Costs

Startup Costs		Cash Flow
Expenses		
Exp	Legal/Licensing (\$2,500)	
Exp	Insurance (first quarter in advance) (\$900)	
Exp	Supplies/Packaging (\$3,000)	
Exp	Marketing (\$2,500)	
Exp	Occupancy Expenses (deposit +1 month) (\$6,000)	
SUBTOTAL		(\$14,900)
Working Capital		
WC	Inventory (\$2,500)	
SUBTOTAL		(\$2,500)
Fixed Assets		
FA	Furniture (\$7,500)	
FA	Coffee Machines (\$8,000)	
FA	Oven/Microwave (\$2,000)	
FA	Refrigerator/Freezer (\$7,500)	
FA	Dishwasher (\$2,000)	
FA	Technology (point-of-sale system) (\$1,500)	
SUBTOTAL		(\$28,500)
TOTAL STARTUP COSTS		(\$45,900)

Parentheses indicate negative figures (cash outflow).

King was surprised to learn how much it would cost to bring her café dream to life. She had \$25,000 in savings, but that wouldn't be nearly enough to get her through the first three months of operation. Her next step, she realized, would be to explore funding options.

References

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